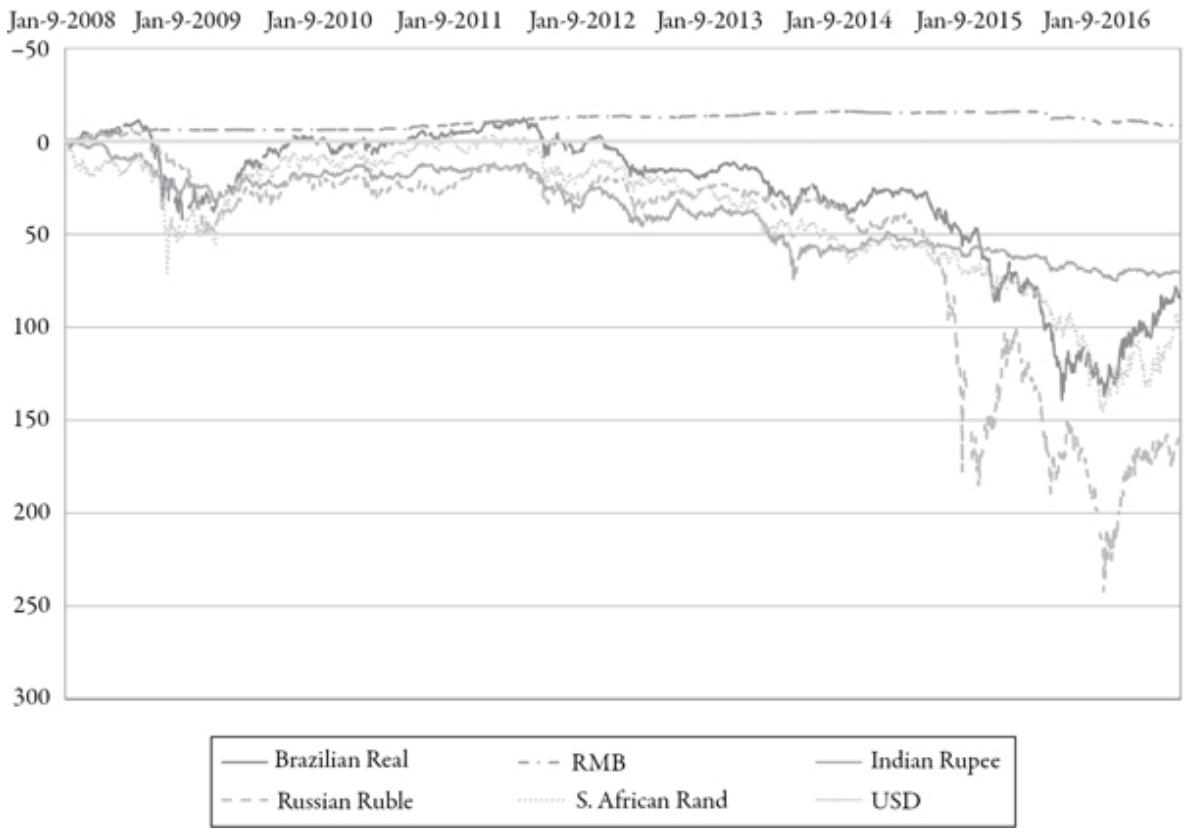



FIGURE 3.8 Nominal Exchange Rate Movements against U.S. Dollar: BRICS, 2009–2015

*Source:* Exchange Rate Archives by month, IMF, https://www.imf.org/external/np/fin/data/param_rms_mth.aspx, accessed November 15, 2016.

The dilemma of the BRICS is that while they would all like to have alternatives to the U.S. dollar, they do not want the value of the dollar to fall, for that would reduce the value of their own dollar-denominated assets. Russia, for example, increased its holdings of U.S. debt by more than 1,600 percent between 2006 and 2011 to a 2010 peak of $176 billion, thanks to surging commodity prices for its oil and gas. After S&P's downgrade of U.S. debt to AA+ sparked a global selloff in August 2011, then–Prime Minister Putin complained that the United States "is living beyond its means and . . . acting . . . as a parasite on the global economy and its dollar monopoly position."[155] But strikingly, Russia's Deputy Finance Minister Sergei Storchak joined the chorus of U.S. debt holders voicing support for the dollar, insisting that Russia doesn't expect "any alternative whatsoever" to its holdings of U.S. sovereign debt in the next five years. In justifying his stance,